

NASDAQGS **AMZN**
AMAZON.COM INC.

 REGION **NORTH AMERICA**

 OVERALL RATING FOR 1ST QUARTER 2020 **SELL**

 INDUSTRY **INTERNET AND DIRECT MARKETING RETAIL**

OUR EVALUATION OF AMZN

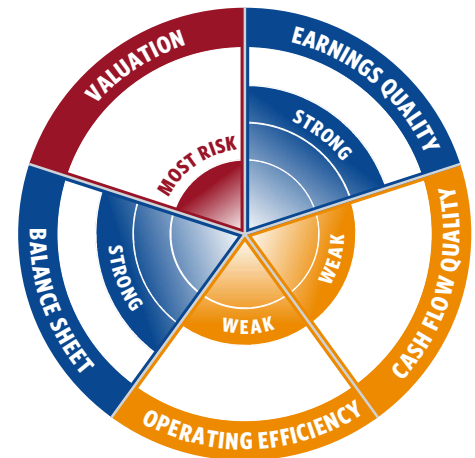
Amazon.com Inc. is showing strong Earnings Quality and Balance Sheet Quality, but Valuation suggests a higher amount of price risk, and Cash Flow Quality and Operating Efficiency are both weak. When combined, AMZN deserves a SELL rating.

The primary reason the overall rating dropped during the last quarter was a decrease in the Cash Flow rating. Another important factor in the downgraded overall rating was a weakening Operating Efficiency rating due to declining turnover ratios.

HISTORICAL RATINGS

	Q2 2019	Q3 2019	Q4 2019	Q1 2020
OVERALL RATING	SELL	HOLD	HOLD	SELL
EARNINGS QUALITY	STRONGEST	STRONGEST	STRONG	STRONG
CASH FLOW QUALITY	WEAK	WEAK	STRONG	WEAK
OPERATING EFFICIENCY	WEAK	STRONG	STRONG	WEAK
BALANCE SHEET	STRONGEST	STRONGEST	STRONG	STRONG
VALUATION	MOST RISK	MOST RISK	MOST RISK	MOST RISK

FINANCIAL SONAR™ FOR AMZN 1ST QUARTER 2020



PRICE TRENDS AND VALUATION

Price (USD, AS OF 06/04/20)	2,473.10	MARKET CAP.	1,236.2 BILLION	PRICE/SALES	3.5
PRICE/EARNINGS	84.7	PRICE/EARNINGS GROWTH	NA	PRICE/CASH FLOW	108.0
PRICE/ADJUSTED EARNINGS	112.4	PRICE/ADJUSTED EARNINGS GROWTH	NA	PRICE/ADJUSTED CASH FLOW	80.6



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EARNINGS QUALITY: STRONG

Earnings quality has long been analyzed and used by investors as a measure of the fundamental quality of the company and its future prospects. Companies may be including certain items that increase reported earnings and often the amount of cash flow supporting the earnings may be weak. Jefferson adjusts for these kinds of items and other anomalies to produce an adjusted earnings number that more accurately reflects ongoing business fundamentals at Amazon.com Inc.. Reported earnings are compared to the Jefferson adjusted earnings as a means to gauge earnings quality. Also measured is the amount of cash flow that underpins earnings.

The earnings quality for AMZN remains STRONG.

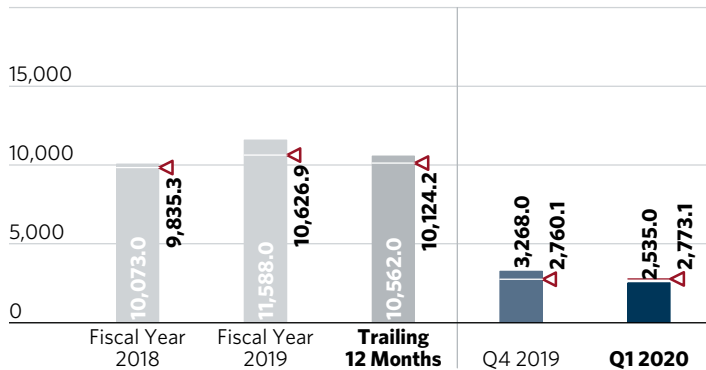
With an adjusted net income of 2,773M in the last quarter that was greater than the reported number, AMZN's quality of net income earnings is extremely high. However, operating cash flow decreased during the last quarter to 3,064M from 19,659M, and the ratio of operating cash flow to earnings has also declined.

NET INCOME VS. ADJUSTED NET INCOME IN MILLIONS

▲ Adjusted Net Income

Adjusted Net Income as a Percentage of Net Income

97.6% 91.7% 95.9% 84.5% 109.4%

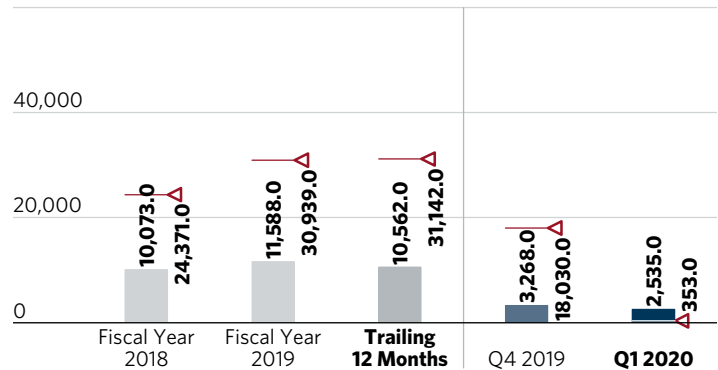


EARNINGS VS. OPERATING CASH FLOW IN MILLIONS

▲ Reported Operating Cash Flow

Operating Cash Flow as a Percentage of Earnings

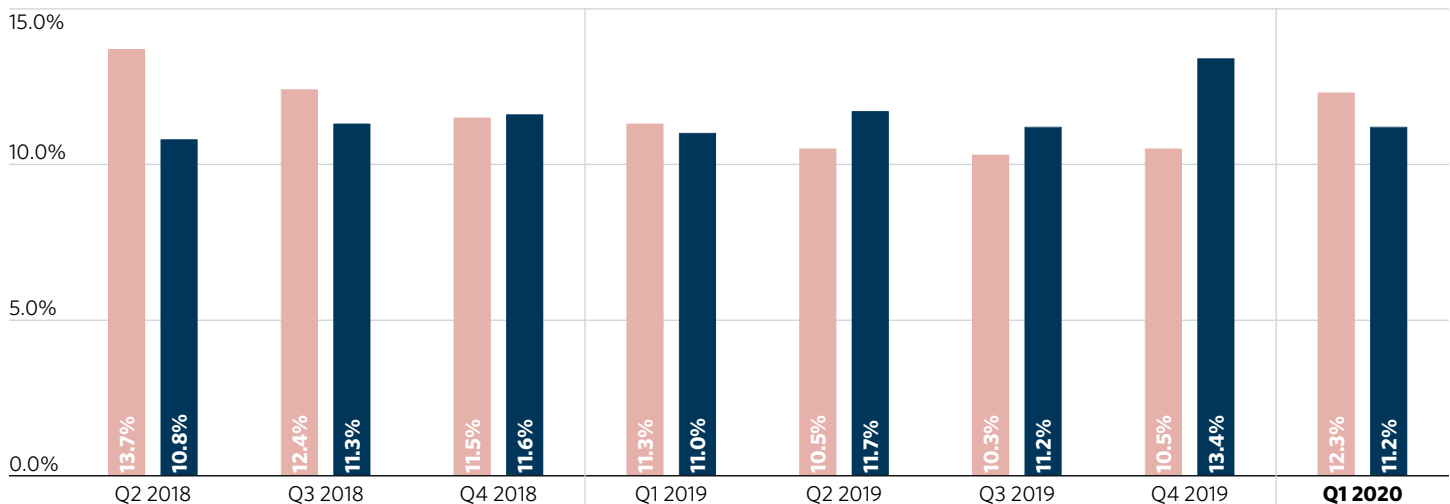
305.0% 332.4% 376.2% 601.6% 120.9%



ACCRUALS

% OF SALES

■ Actual Accruals ■ Forcasted Accruals



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CASH FLOW QUALITY: **WEAK**

Cash flow is considered by many investors to be the ultimate measure of company performance and more reliable than reported earnings. The Jefferson measurement eliminates items that are not part of recurring cash flow or the result of actual operations for Amazon.com Inc.. These adjustments to cash flow provide a truer measure of cash flow and the resultant cash flow quality rating.

The cash flow quality rating for AMZN declined from STRONG to WEAK. The annual operating cash flow quality declined with a reported number of 38,514M and an adjusted number that was 80.3% of reported. In addition, the quarterly free cash flow quality weakened with a reported number of -3,731M and an adjusted number that was 2,711M less than reported. Together these changes represent deterioration from the previous period when the ratio of reported to adjusted numbers was higher.

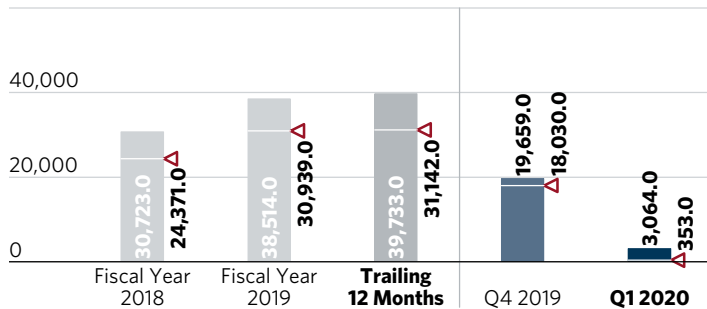
OPERATING CASH FLOW

IN MILLIONS

Δ Adjusted Operating Cash Flow

Adjusted Operating Cash Flow as a Percentage of Operating Cash Flow

79.3% 80.3% 78.4% 91.7% 11.5%



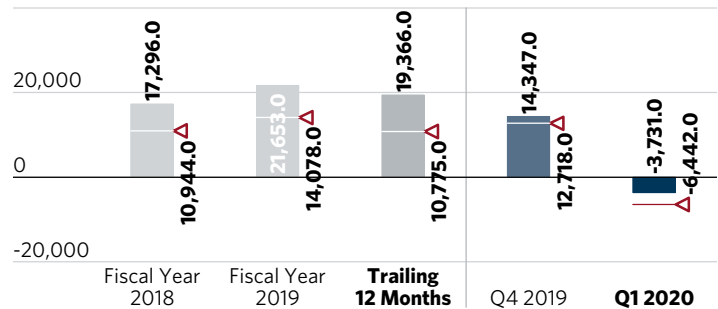
FREE CASH FLOW

IN MILLIONS

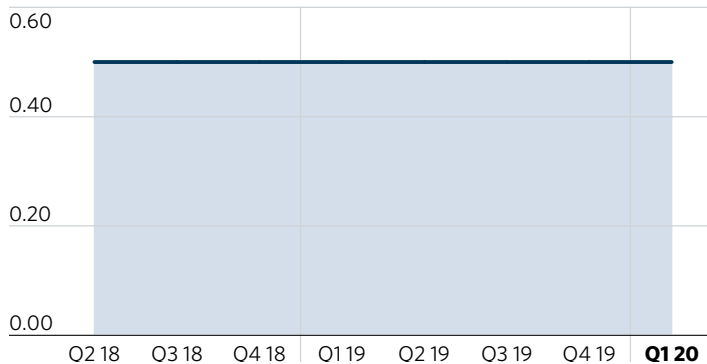
Δ Adjusted Free Cash Flow

Adjusted Free Cash Flow as a Percentage of Free Cash Flow

63.3% 65.0% 55.6% 3.3% -172.7%

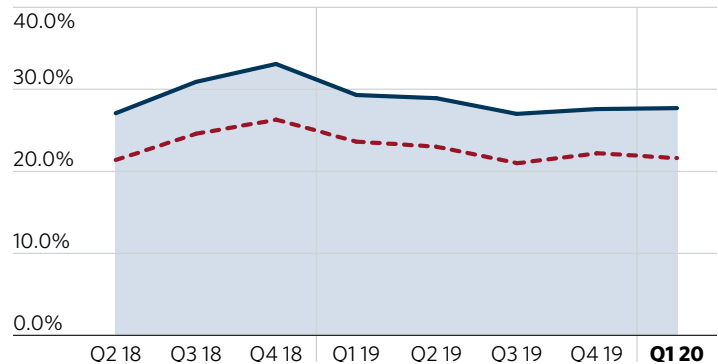


FLOW RATIO



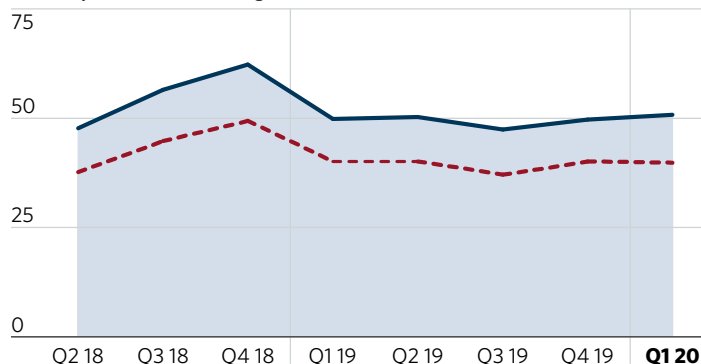
CASH FLOW ROI

Adjusted Cash Flow ROI



DEBT COVERAGE

Adjusted Debt Coverage



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OPERATING EFFICIENCY: **WEAK**

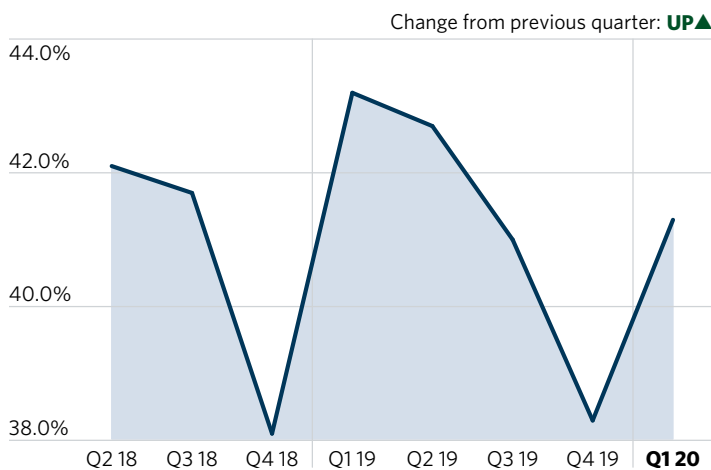
The ability of Amazon.com Inc. to earn a profit is in part the result of how rapidly it converts its collection of assets into revenues and the resulting earnings and cash flow margins available. Operating Efficiency is measured by a combination of factors including: return on invested capital (ROIC), gross margin, EBIT margin, asset turnover, equity turnover, and lastly Staff, General, and Administrative costs as a percentage of sales (SGA).

The operating efficiency rating for AMZN declined from STRONG to WEAK as the ROIC, asset turnover, SGA costs, net margin and equity turnover deteriorated since the last quarter.

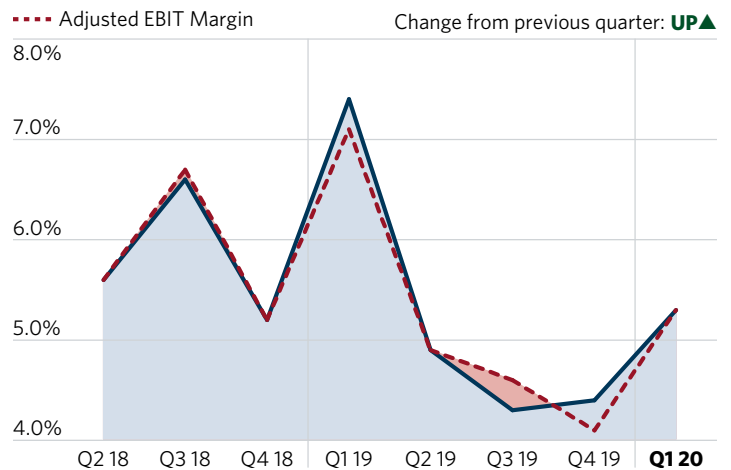
Return on invested capital declined from 9.0% to 7.8%, the largest percentage decrease of the operating efficiency measures. The lower ROIC indicates that AMZN is producing less profit per dollar of capital invested in the business.

In addition, asset turnover deteriorated from 1.6X to 1.4X. The lower asset turnover indicates that AMZN is generating less revenues for each dollar of assets.

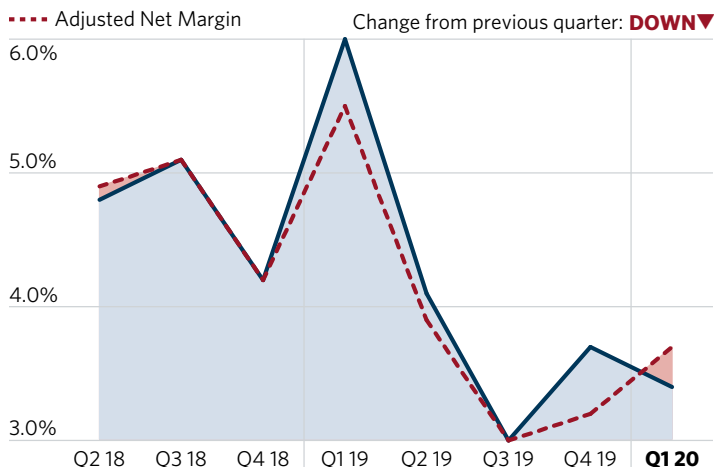
GROSS MARGIN



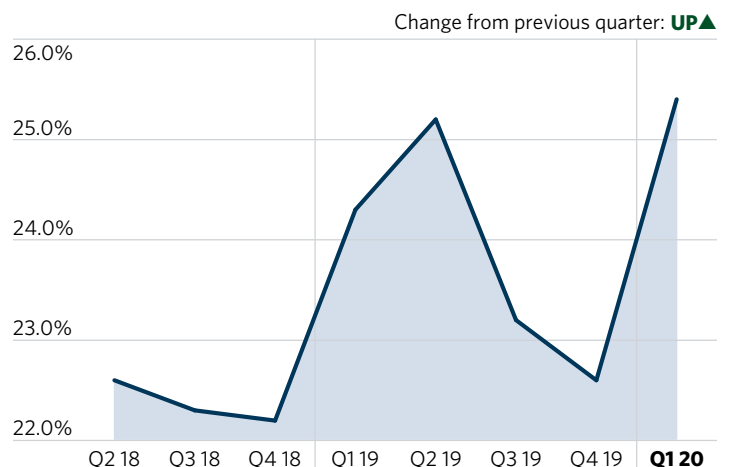
EBIT MARGIN



NET MARGIN



SG&A AS A PERCENTAGE OF SALES



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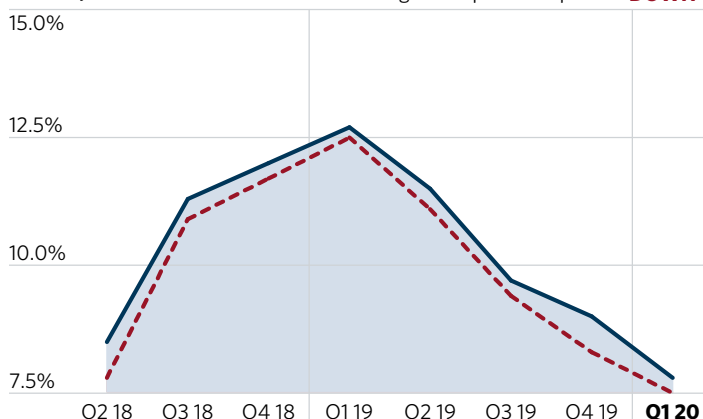
INDUSTRY **INTERNET AND DIRECT MARKETING RETAIL**

OPERATING EFFICIENCY: **WEAK**

ROIC

Adjusted ROIC

Change from previous quarter: **DOWN**



RETURN ON INCREMENTAL INVESTED CAPITAL

Change from previous quarter: **UP**



ASSET TURNOVER

Change from previous quarter: **DOWN**



EQUITY TURNOVER

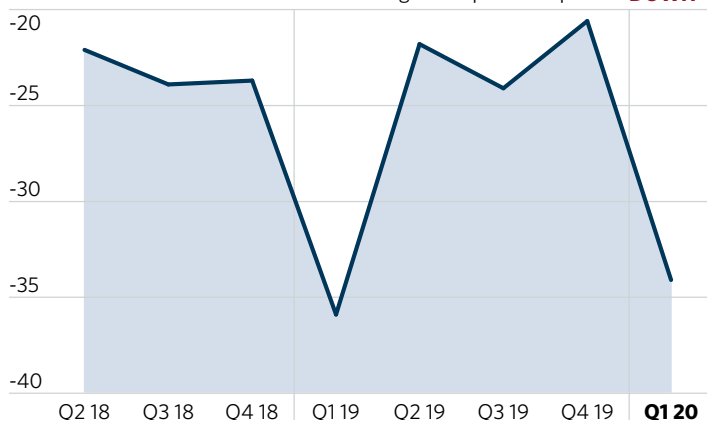
Change from previous quarter: **DOWN**



CASH CONVERSION CYCLE

IN DAYS

Change from previous quarter: **DOWN**



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BALANCE SHEET QUALITY: **STRONG**

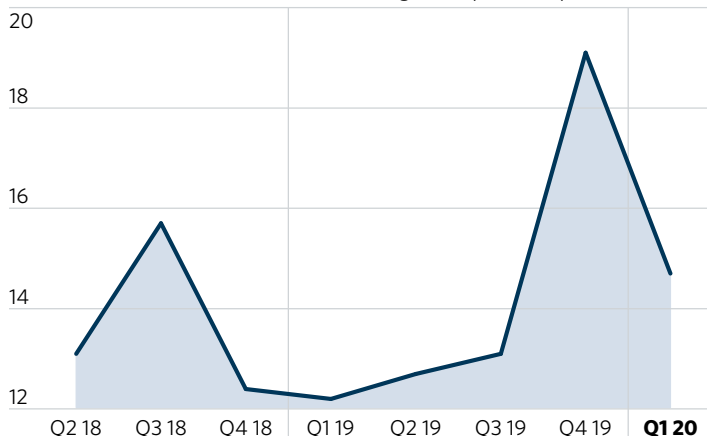
The balance sheet shows the ability of Amazon.com Inc. to pay its bills and fund future growth. It also provides clues to aggressive accounting since reported earnings that do not generate cash flow generally end up somewhere on the balance sheet. The following are analyzed in determining balance sheet quality: quick ratio, current ratio, cash position, accounts receivable days sales outstanding (AR DSOs), and number of days inventory is held prior to sale to customers (Inv Days).

The balance sheet rating for AMZN remains **STRONG** as the AR DSOs, Inv Days, and debt/equity strengthened over the last quarter while the quick ratio, cash position and debt/assets weakened.

Even though AR DSOs improved from 19 to 14 days, the decline in the quick ratio offset this by deteriorating from 0.9X to 0.8X. The lower quick ratio indicates that AMZN has decreased the amount of liquid assets relative to current liabilities.

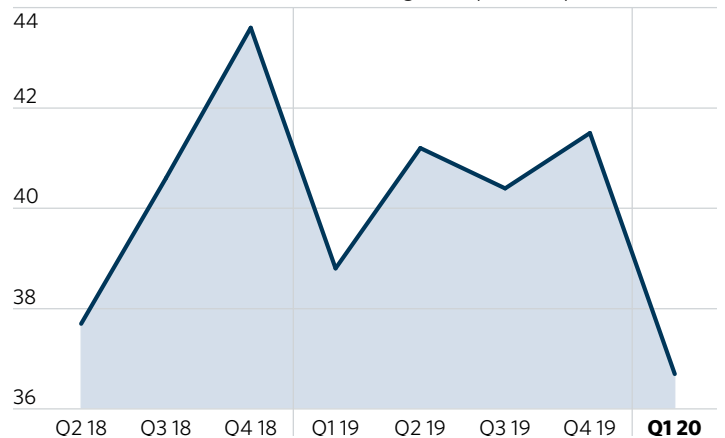
RECEIVABLES DAYS OUT

Change from previous quarter: **DOWN**▼

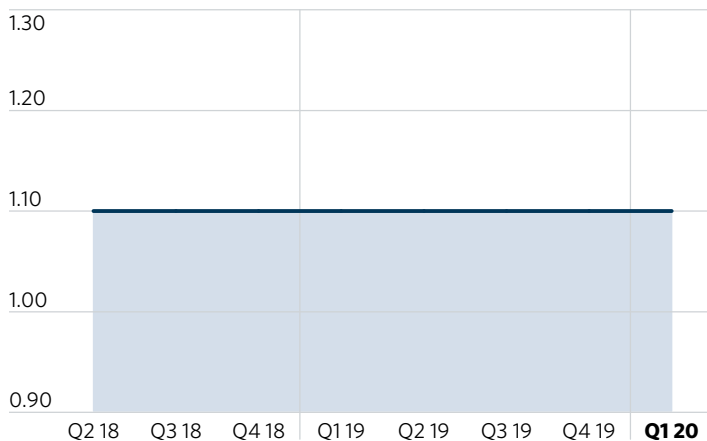


INVENTORY DAYS OUT

Change from previous quarter: **DOWN**▼

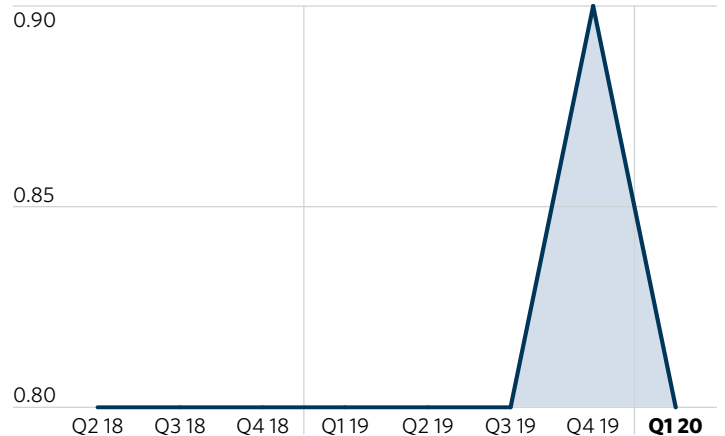


CURRENT RATIO



QUICK RATIO

Change from previous quarter: **DOWN**▼



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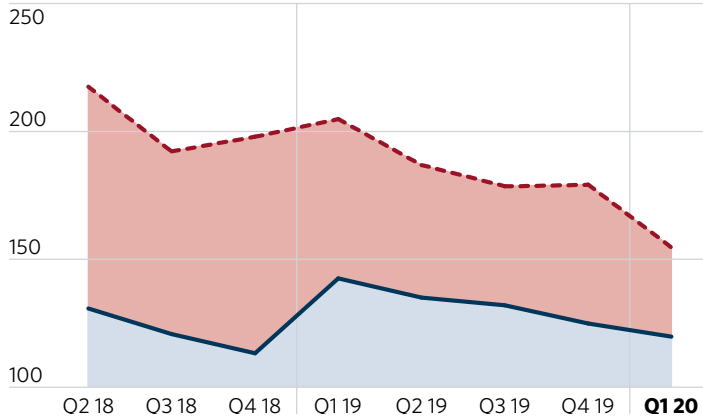
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BALANCE SHEET QUALITY: **STRONG**

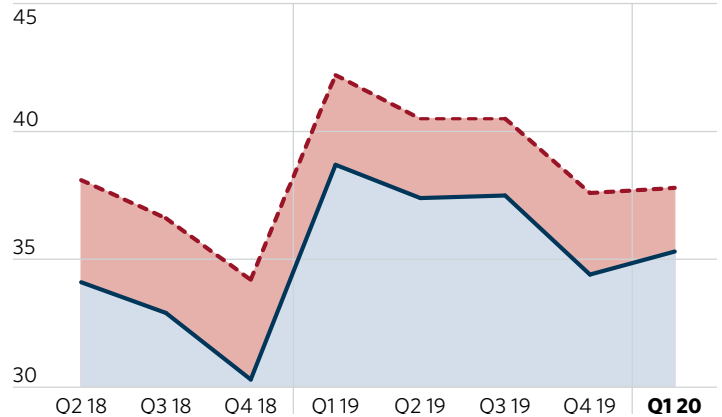
DEBT/EQUITY

--- Debt/Tangible Equity Change from previous quarter: **DOWN▼**



DEBT/ASSETS

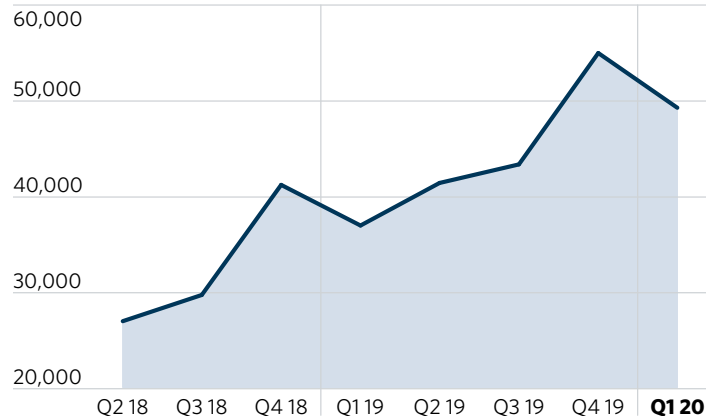
--- Debt/Tangible Assets Change from previous quarter: **UP▲**



CASH

IN MILLIONS

Change from previous quarter: **DOWN▼**



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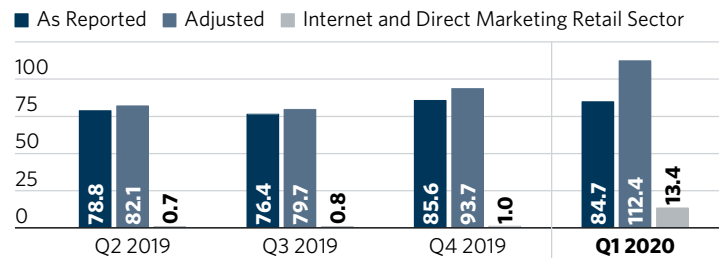
VALUATION: MOST RISK

An unfavorable valuation (a MEDIUM RISK or MOST RISK rating) implies higher potential downward price risk that is evidenced by a company price multiple that is higher than the corresponding sector average. The valuation rating is based on both absolute and relative levels at Amazon.com Inc. compared to its peers within its sector based on price to earnings (PE), price to earnings growth (PEG), price to sales (PS), and price to cash flow (PCF).

The valuation rating for AMZN remains a MOST RISK.

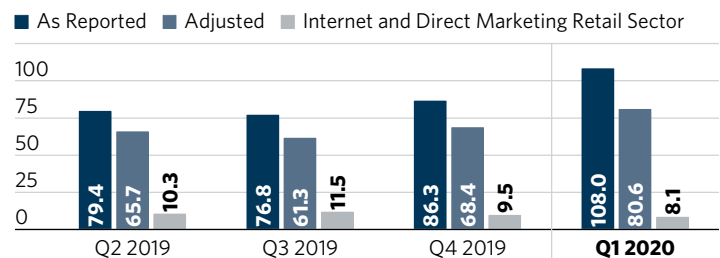
PRICE/EARNINGS

LAST 2 YEARS	RANGE		AVERAGE
	LOW	HIGH	
Reported Price/Earnings	76.40	140.00	89.13
Adjusted Price/Earnings	79.70	152.40	97.03
Sector Price/Earnings	13.40	21.10	18.10



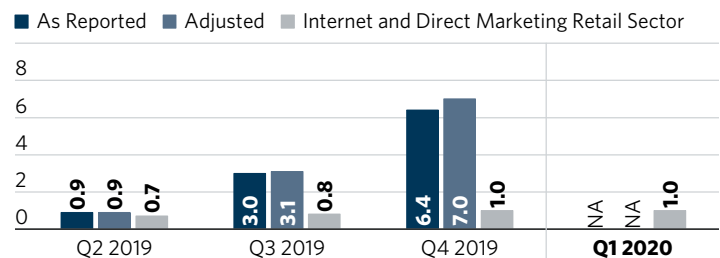
PRICE/CASH FLOW

LAST 2 YEARS	RANGE		AVERAGE
	LOW	HIGH	
Reported Price/Cash Flow	76.80	141.00	92.61
Adjusted Price/Cash Flow	61.30	136.70	79.74
Sector Price/Cash Flow	8.10	14.10	10.79



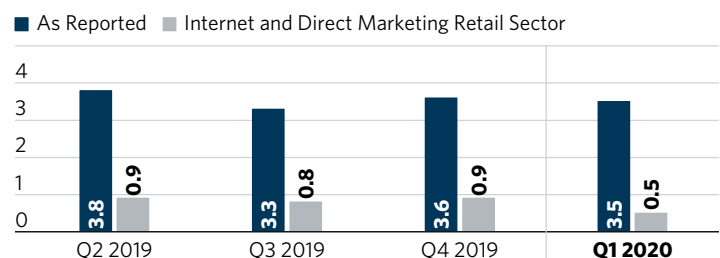
PRICE/EARNINGS GROWTH

LAST 2 YEARS	RANGE		AVERAGE
	LOW	HIGH	
Reported Price/Earnings Growth	0.30	6.40	1.70
Adjusted Price/Earnings Growth	0.30	7.00	1.83
Sector Price/Earnings Growth	0.40	1.00	0.69



PRICE/SALES

LAST 2 YEARS	RANGE		AVERAGE
	LOW	HIGH	
Reported Price/Sales	3.30	4.20	3.68
Sector Price/Sales	0.50	1.00	0.85



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PEER VALUATION COMPARISON

TICKER	COMPANY	MARKET CAP.	PRICE ON 06/04/20	PRICE/ EARNINGS	PRICE/ SALES	PRICE/ CASH FLOW	PRICE/ EARNINGS GROWTH	VALUATION RATING
A035760	CJ ENM CO. Ltd.	2,413.0 B	122,900.00	20.0	0.5	17.3	NA	MOST RISK
4755	Rakuten Inc.	1,349.3 B	994.00	NA	0.9	-7.9	NA	MEDIUM RISK
AMZN	Amazon.com Inc.	1,236.2 B	2,473.10	84.7	3.5	108.0	NA	MOST RISK
A057050	Hyundai Home Shopping Network Corporation	848.5 B	72,600.00	7.8	0.3	7.1	NA	LEAST RISK
A028150	GS Home Shopping Inc.	728.0 B	122,000.00	5.8	0.5	6.4	NA	MEDIUM RISK
3092	Start Today Co. Ltd.	675.9 B	2,214.00	30.6	3.7	26.6	1.7	MOST RISK
A119860	Danawa Co. Ltd	348.6 B	26,900.00	12.6	1.8	15.5	0.3	MEDIUM RISK
INTERNET AND DIRECT MARKETING RETAIL SECTOR		97.5 B	—	13.4	0.5	8.1	1.0	—

PEER OPERATING COMPARISON

TICKER	COMPANY	MARKET CAP.	GROSS MARGIN (%)	EBIT MARGIN (%)	NET MARGIN (%)	ROIC (%)	CASH CONVERSION CYCLE (DAYS)	OPERATING EFFICIENCY RATING
A035760	CJ ENM CO. Ltd.	2,413.0 B	41.4	4.8	3.3	2.7	59.0	MOST RISK
4755	Rakuten Inc.	1,349.3 B	-5.9	-7.3	-10.7	-7.1	NA	MOST RISK
AMZN	Amazon.com Inc.	1,236.2 B	41.3	5.3	3.4	7.8	-34.0	MEDIUM RISK
A057050	Hyundai Home Shopping Network Corporation	848.5 B	43.9	5.4	6.6	4.1	29.0	LOW RISK
A028150	GS Home Shopping Inc.	728.0 B	68.2	10.2	8.8	9.2	26.0	LEAST RISK
3092	Start Today Co. Ltd.	675.9 B	88.6	25.2	19.7	37.1	156.0	LOW RISK
A119860	Danawa Co. Ltd	348.6 B	70.8	31.3	22.7	22.5	-4.0	LOW RISK

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DEFINITIONS

Adjusted Net Income: Adjusted Net Income is a company's reported net income less adjustments for one-time and non-operating items yielding a more realistic picture of a company's ongoing earnings.

Accruals – Forecasted and Actual: The comparison of forecasted and actual accruals identifies a discretionary build not attributable to a company's sales growth, and could be a sign of poor earnings quality. For our purposes, the forecasted accrual component is an aggregate measurement of total accruals (short-term balance sheet accounts) that distinguishes between "normalized" and "extraordinary" accruals. The normalized accruals are based on historical relationships between sales and accruals and are dynamically adjusted over time to account for changes in the ratio between these two variables. Normally, short term accruals will grow as sales grow – i.e., the "normalized" measure. Discretionary accruals are the portion of accruals that are in excess of the base factor and therefore exceed the normal and are "extraordinary".

Adjusted Operating Cash Flow: Adjusted Operating Cash Flow is reported operating cash flow less adjustments for one-time and non-operating items yielding a more realistic picture of a company's ongoing cash flow from operations.

Adjusted Free Cash Flow: Adjusted Free Cash Flow is reported operating cash flow less adjustments for one-time, non-operating items and capital expenditures. This provides a more realistic picture of a company's ongoing cash generation from operations after capital investments.

Flow Ratio: The Flow Ratio is a measurement of management's effectiveness in managing its working capital to maximize the company's cash flows. The measure is a ratio of a company's non-cash current assets to its non-interest bearing short-term liabilities. – These non-cash assets include items such as accounts receivable (which are essentially interest-free loans to customers) and inventory (which is subject to obsolescence or spoilage). The non-interest bearing liabilities are essentially interest-free loans to the company. A lower ratio implies tighter cash management for a company as it has less cash tied up in non-cash current assets and is able to utilize interest free loans from suppliers.

Cash Flow Return on Investment: Cash Flow ROI is a measure of a company's ability to generate operating cash flow from its invested capital. Many analysts consider this measure preferable to an earnings return measure such as ROE since cash flow is considered a more reliable measure.

Adjusted Cash Flow Return on Investment: Adjusted Cash Flow ROI is a measure of the ability to generate operating cash flow from its investment in capital calculated using a company's adjusted cash flow.

Debt Coverage: Debt Coverage is a measure of a company's ability to cover its debt obligations with cash flow it generated

from continuing operations.

Adjusted Debt Coverage: Adjusted Debt Coverage is a measure of a company's ability to cover its debt obligations with cash flow it generated from continuing operations, calculated using a company's adjusted cash flow.

Adjusted Return on Invested Capital: Adjusted ROIC assesses a company's efficiency at allocating the capital to profitable investments using a company's adjusted net income (see above) yielding a measure of how well a company is using its capital to generate returns.

Adjusted EBIT Margin: Adjusted EBIT Margin is a measure of a company's earnings before interest and income taxes less adjustments for one-time and non-operating items divided by a company's sales.

Adjusted Net Margin: Adjusted Net Margin is a measure of a company's net income less adjustments for one-time and non-operating items divided by a company's sales.

Return on Incremental Invested Capital: ROIIC measures the relationship between incremental investment and incremental net operating profit after tax. This provides a measure of the returns a company is earning on recent investments rather than all investments as measured by ROIC.

Cash Conversion Cycle: The Cash Conversion Cycle measures the number of days working capital is tied up from the date of purchase of raw materials until the collection of cash from the sale of the product.

Debt to Tangible Equity: Debt to Tangible Equity is a ratio of a company's debt to equity less adjustments for goodwill and other intangible assets yielding tangible equity.

Debt to Tangible Assets: Debt to Tangible Assets is a ratio of a company's debt to total assets less adjustments for goodwill and other intangible assets.

Price/Adjusted Earnings: Adjusted Price/Earnings is a relative valuation measure comparing a company's share price to its adjusted net income.

Price/Adjusted Cash Flow: Adjusted Price/Cash Flow is a relative valuation measure comparing a company's share price to its adjusted cash flow.

Price/Adjusted Earnings Growth: Adjusted Price/Earnings Growth is a relative valuation measure comparing a company's share price to its growth in adjusted earnings.

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The Jefferson Financial Sonar™ ratings system classifies companies into three categories: Buy, Hold and Sell. The Financial Sonar rating is the result of a point scoring system derived from the five main criteria. The more negative the rating, the more likely the overall rating will be a Sell. More positive criteria will support an Overall Rating of Buy.

Jefferson Research & Management has developed the Financial Sonar™ Rating System which is based upon five analytical criteria: Earnings Quality, Cash Flow, Operating Efficiency, Balance Sheet, and Valuation. The first four criteria are rated in one of four categories (best to worst): Strongest, Strong, Weak, Weakest. Valuation is also rated in one of four categories (best to worst): Least Risk, Low Risk, Medium Risk, Most Risk.

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